

An index fund does have its advantages: (a) you know you will get good long-term performance, because stocks return more than bonds or cash, and (b) you can have confidence in advance that it will be good long-term performance. That's really valuable. A fund manager can tell you that his company has a great system, great people, great everything, and that performance over the next ten years is going to be sensational. But his enthusiasm may prove nothing more than marketing hyperbole, and you'll end up with below-average performance. With an index fund, you don't have to worry about that.

When you decide on active management instead of an index fund, you are putting your faith in a manager, a philosophy, a method, and a long-term record. You are saying, "What I know of this person gives me reasonable assurance that I will get something better than average performance over time, with very little danger of really bad performance."

That seems to me a rational risk to take. There is no kind of work that I can think of where some people aren't better than average at what they do. The long-term records of fund managers are there to study: go for the best. When it comes to mutual funds, the best usually costs no more.

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There is still one other reason to invest through mutual funds rather than on your own. It gives you someone to blame if there's a screw-up.

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In any case, I would be willing to bet my Boy Scout merit badges that even the average professional manager beats the average individual investor. I know the stupid things we professionals do, but